

# OPTION SELLING STRATEGIES

## Option Selling Strategies

- Using the tools in Websites like Sensibull or Options Opstra, we can create strategies for Option Selling. In Options Opstra, select Options Portfolio, Select Real Portfolio, click on Strategy Builder, select Index / Stock and relevant contract / expiry.

## Short Straddle:

### What is?

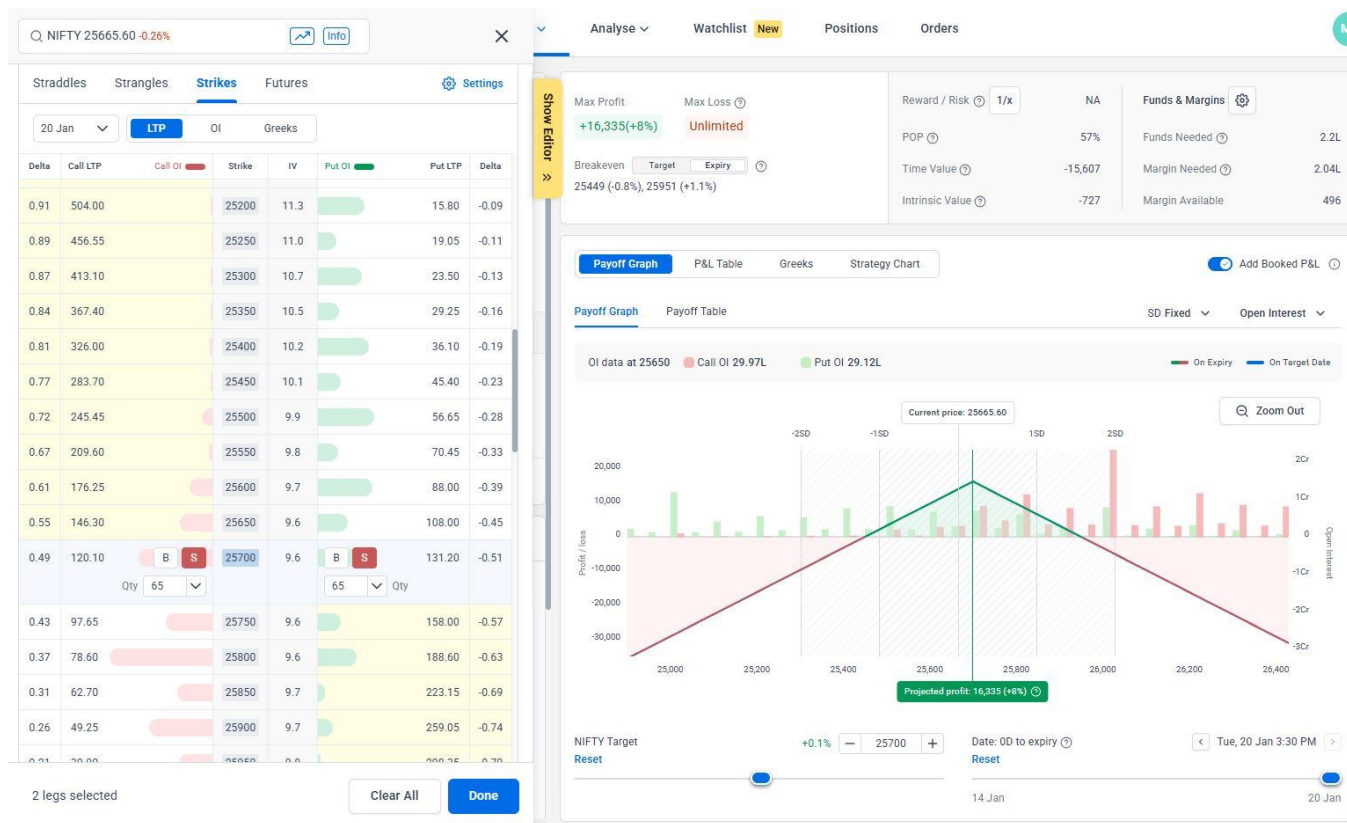
A Short Straddle is an option selling strategy where you sell an ATM Call and sell an ATM Put of the same strike and expiry.

### When to Use

- Market expected to move **strong consolidation (sideways )**



# Implementation and payoff graph



## **Maximum Profit**

- Limited
- Equal to the total premium received
- Achieved when price expires near the strike price

## **Maximum Loss**

- Unlimited  
Occurs if the market makes a strong move up or down

## **Break-even Points**

- Upper Break-even = Strike Price + Total Premium Received
- Lower Break-even = Strike Price – Total Premium Received

*Main problem of a short straddle is that it needs a very tight range, so if the market moves even moderately it can lose, but for a sideways market with moderate moves you can use a short strangle instead.*

## Short Strangle:

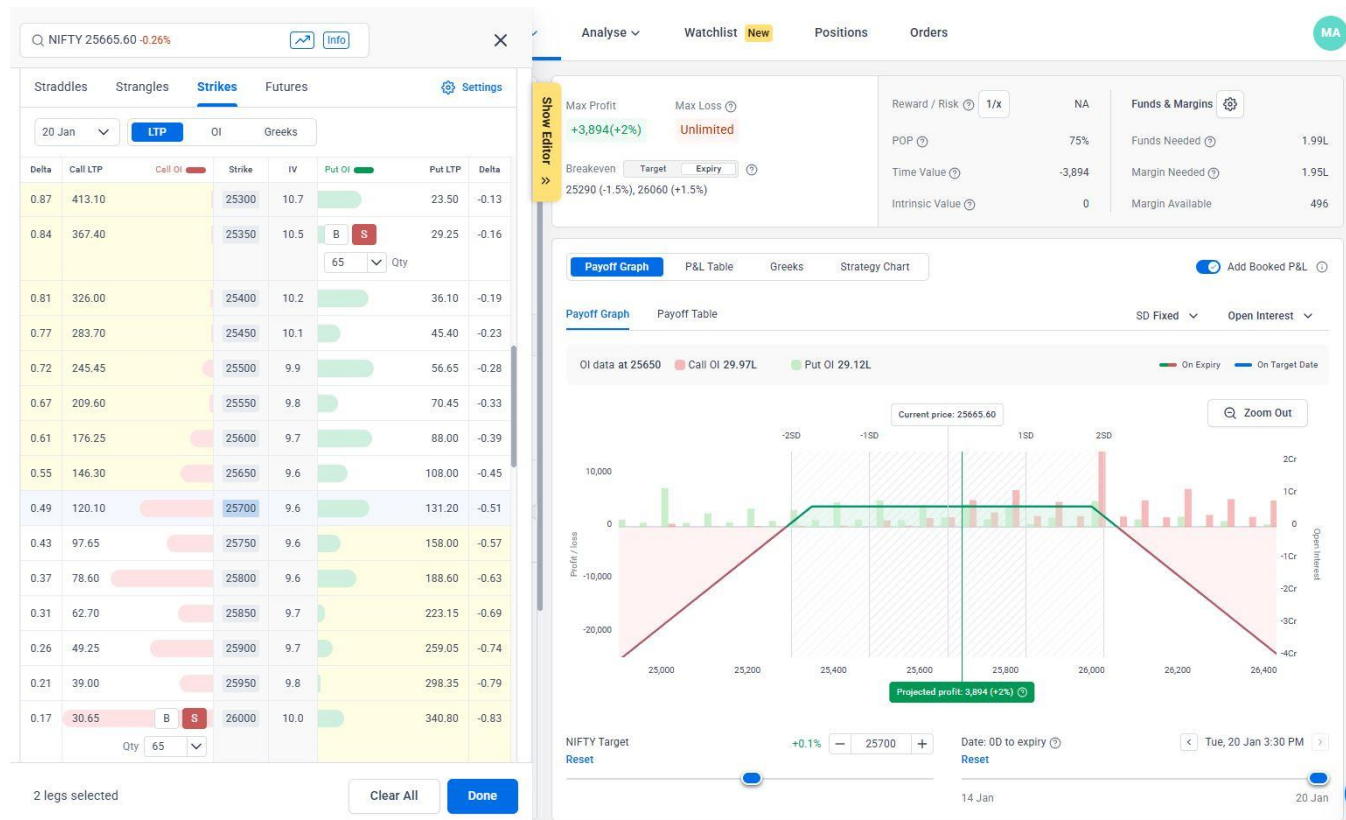
### What is ?

A Short Strangle is an option selling strategy where you sell an OTM Call and sell an OTM Put with the same expiry.

### When to Use

- Market expected to be sideways with moderate swings

# Implementation and payoff graph





## Maximum Profit

- Limited
- Equal to total premium received from both options
- Best result when price stays between the Call and Put at expiry



## Maximum Loss

- Unlimited
- Happens if market breaks out sharply above the Call or below the Put



## Break-even Points

- Upper Break-even = Call Strike + Total Premium Received
- Lower Break-even = Put Strike – Total Premium Received

## **Main Problems of Short Straddle & Short Strangle:**

- Unlimited Loss
- Huge Margin Required
- High Overnight Risk

## **Solution - Hedge with Protection**

### **Hedged Benefits:**

- Limited Max Loss
- Lower Margin
- Safer Overnight

**Hedging = Adding bought options as protection to naked sold options**

## **Hedging**

Hedging means creating another position that protects your main position, so that if the market goes against you, the profit from the hedge helps reduce or limit your loss.

*Because of this, traders often prefer Iron Fly (hedged straddle) and Iron Condor (hedged strangle) instead of naked positions.*

## Iron Fly:

### What is ?

An Iron Fly is a hedged option selling strategy where you sell an ATM Call and ATM Put, then buy protection OTM Call and OTM Put wings.

### When to Use

- Expect very tight sideways movement around current price
- Want limited risk version of short straddle
- Safe overnight holding needed



# Implementation and payoff graph

Q NIFTY 25665.60 -0.26%

Straddles Strangles **Strikes** Futures

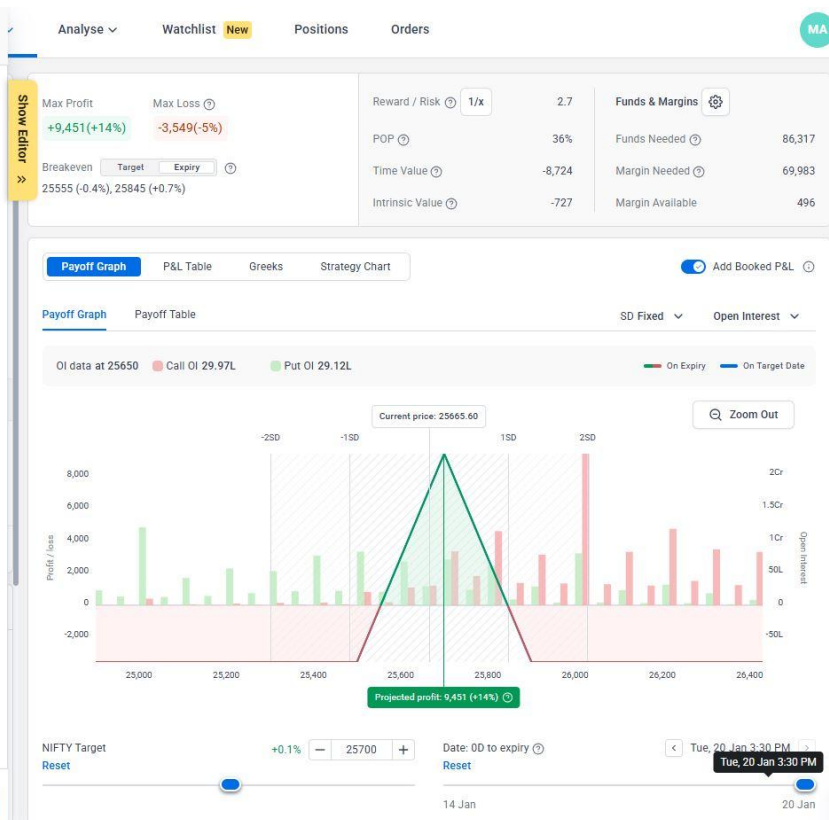
20 Jan LTP OI Greeks

| Delta | Call LTP | Call OI | Strike | IV   | Put OI | Put LTP | Delta |
|-------|----------|---------|--------|------|--------|---------|-------|
| 0.84  | 367.40   |         | 25350  | 10.5 |        | 29.25   | -0.16 |
| 0.81  | 326.00   |         | 25400  | 10.2 |        | 36.10   | -0.19 |
| 0.77  | 283.70   |         | 25450  | 10.1 |        | 45.40   | -0.23 |
| 0.72  | 245.45   |         | 25500  | 9.9  | B S    | 56.65   | -0.28 |
| 0.67  | 209.60   |         | 25550  | 9.8  |        | 70.45   | -0.33 |
| 0.61  | 176.25   |         | 25600  | 9.7  |        | 88.00   | -0.39 |
| 0.55  | 146.30   |         | 25650  | 9.6  |        | 108.00  | -0.45 |
| 0.49  | 120.10   | B S     | 25700  | 9.6  | B S    | 131.20  | -0.51 |
| 0.43  | 97.65    |         | 25750  | 9.6  |        | 158.00  | -0.57 |
| 0.37  | 78.60    |         | 25800  | 9.6  |        | 188.60  | -0.63 |
| 0.31  | 62.70    |         | 25850  | 9.7  |        | 223.15  | -0.69 |
| 0.26  | 49.25    | B S     | 25900  | 9.7  |        | 259.05  | -0.74 |
| 0.21  | 39.00    |         | 25950  | 9.8  |        | 298.35  | -0.79 |
| 0.17  | 30.65    |         | 26000  | 10.0 |        | 340.80  | -0.83 |

Qty 65 Qty

4 legs selected

Clear All Done



### **Maximum Profit**

- Limited
- Net credit received
- Best when price expires at middle (ATM) strike

### **Maximum Loss**

- Limited
- Wing premium width - net credit
- Occurs at outer wing strikes

### **Break-even Points**

- Upper BE = Middle Strike + Net Credit
- Lower BE = Middle Strike - Net Credit

*Iron Fly has tight range like short straddle, so if you expect moderate sideways movement instead of very tight consolidation, use Iron Condor for wider profit zone.*

## Iron Condor:

### What is an ?

An Iron Condor is a hedged option selling strategy where you sell an OTM Call and OTM Put, then buy protection wings further OTM.

### When to Use

- Expect sideways movement with moderate swings
- Not very tight consolidation (wider range than Iron Fly)
- Safe overnight holding with defined risk



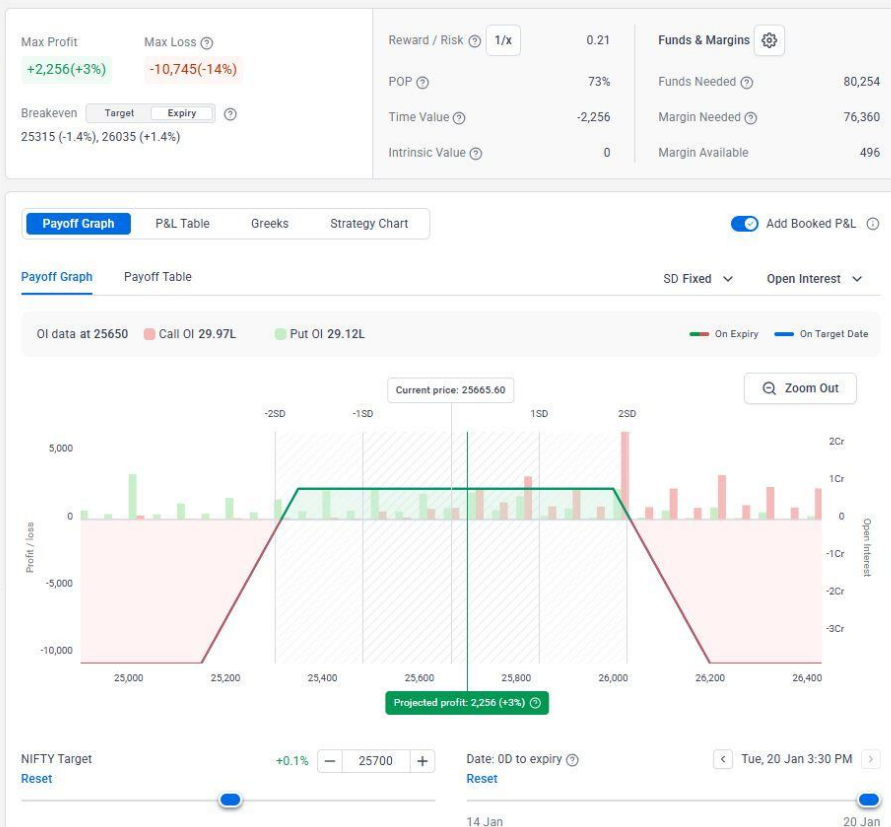
# Implementation and payoff graph

Q NIFTY 25665.60 -0.26%

Straddles Strangles **Strikes** Futures

20 Jan LTP OI Greeks

| Delta | Call LTP | Call OI | Strike | IV   | Put OI | Put LTP | Delta |
|-------|----------|---------|--------|------|--------|---------|-------|
| 0.92  | 552.20   |         | 25150  | 11.7 | 65     | 13.55   | -0.08 |
| 0.91  | 504.00   |         | 25200  | 11.3 |        | 15.80   | -0.09 |
| 0.89  | 456.55   |         | 25250  | 11.0 |        | 19.05   | -0.11 |
| 0.87  | 413.10   |         | 25300  | 10.7 |        | 23.50   | -0.12 |
| 0.84  | 367.40   |         | 25350  | 10.5 | 65     | 29.25   | -0.16 |
| 0.81  | 326.00   |         | 25400  | 10.2 |        | 36.10   | -0.19 |
| 0.77  | 283.70   |         | 25450  | 10.1 |        | 45.40   | -0.23 |
| 0.72  | 245.45   |         | 25500  | 9.9  |        | 56.65   | -0.28 |
| 0.67  | 209.60   |         | 25550  | 9.8  |        | 70.45   | -0.33 |
| 0.61  | 176.25   |         | 25600  | 9.7  |        | 88.00   | -0.39 |
| 0.55  | 146.30   |         | 25650  | 9.6  |        | 108.00  | -0.45 |
| 0.49  | 120.10   |         | 25700  | 9.6  |        | 131.20  | -0.51 |
| 0.43  | 97.65    |         | 25750  | 9.6  |        | 158.00  | -0.57 |
| 0.37  | 78.60    |         | 25800  | 9.6  |        | 188.60  | -0.62 |
| 0.31  | 62.70    |         | 25850  | 9.7  |        | 223.15  | -0.69 |
| 0.26  | 49.25    |         | 25900  | 9.7  |        | 259.05  | -0.74 |
| 0.21  | 39.00    |         | 25950  | 9.8  |        | 298.35  | -0.79 |
| 0.17  | 30.65    |         | 26000  | 10.0 | 65     | 340.80  | -0.83 |
| 0.14  | 24.10    |         | 26050  | 10.1 |        | 383.60  | -0.86 |
| 0.11  | 18.75    |         | 26100  | 10.2 |        | 429.00  | -0.89 |
| 0.09  | 14.65    |         | 26150  | 10.4 |        | 476.45  | -0.91 |
| 0.07  | 11.65    |         | 26200  | 10.6 | 65     | 522.75  | -0.93 |
| 0.06  | 9.35     |         | 26250  | 10.8 |        | 568.00  | -0.94 |





## Maximum Profit

- Limited
- Net credit received
- Best when price expires between the sold strikes



## Maximum Loss

- Limited (known upfront)
- Wing width minus net credit
- Occurs at outer wing strikes



## Break-even Points

- Upper BE = Sold Call Strike + Net Credit
- Lower BE = Sold Put Strike – Net Credit

**THANK YOU**